

Required Report: Required - Public Distribution
2022

Date: December 06,

Report Number: ID2022-0036

Report Name: Oilseeds and Products Update

Country: Indonesia

Post: Jakarta

Report Category: Oilseeds and Products

Prepared By: Arif Rahmanulloh

Approved By: Jasmine Osinski

Report Highlights:

On larger than expected production loss related Indonesia's palm oil export ban policy, Post revises down Indonesia palm oil production to 44.7 million ton (MMT) for 2022/23 and updates 2021/22 production to 43.2 MMT. Soybean imports for 2022/23 are forecast at 2.6 MMT on continued demand from tofu and tempeh producers.

Commodity: Oil, Palm

Production

Indonesia's 2022/23 palm oil production forecast is revised down from the last update to 44.7 million metric tons (MMT) on crop losses during periods of export restrictions as well as continued sub-optimal fertilizer application rates in 2022. (For more information on export restrictions, see [ID2022-0021](#)) Due to larger than previously expected production losses, Post revises 2021/22 production estimates down 5 percent to 43.2 MMT. In addition, flooding in Kalimantan from August to September 2022 disrupted logistics and delayed harvesting activities.

Consumption

Post revises up industrial palm oil consumption for 2022/23 to 10.5 MMT and for 2021/22 to 10 MMT on higher biodiesel production demand in overseas markets. A narrow spread between palm oil diesel and fossil diesel prices stimulated discretionary blending in several export markets in 2022. Increased industrial demand was then sustained by Government of Indonesia (GOI) policies extending the export levy waiver from mid-July 2022 up to late December 2022. (For more information on the export levy waiver, see [ID2022-0021](#)).

The GOI's B40 adoption plan is currently in the road-test phase which is expected to conclude in December 2022 with the release of a technical report. Since biodiesel allocations for each year must be publicized officially by the end of December of the previous year, this technical report will likely not be released in time for B40 allocations to be set for 2023. For the GOI to be able to implement a mandatory B40 blending rate, the Ministry of Energy would first have to make its official B40 specifications available to the public. Assuming the production capacity of renewable diesel is ready to handle such an increase and the export levy fund, which has earned no revenue since mid-July 2022 due to the export levy waiver, is again viable, B40 implementation would likely not begin until 2024 at the earliest.

Post's forecast for food sector palm oil consumption in 2022/23 is unchanged at 6.7 MMT, up slightly from 6.5 MMT in 2021/22. Post forecasts total Indonesia palm oil consumption at 17.51 MMT in 2022/23, an increase of 4 percent from 16.8 MMT in 2021/22.

Trade

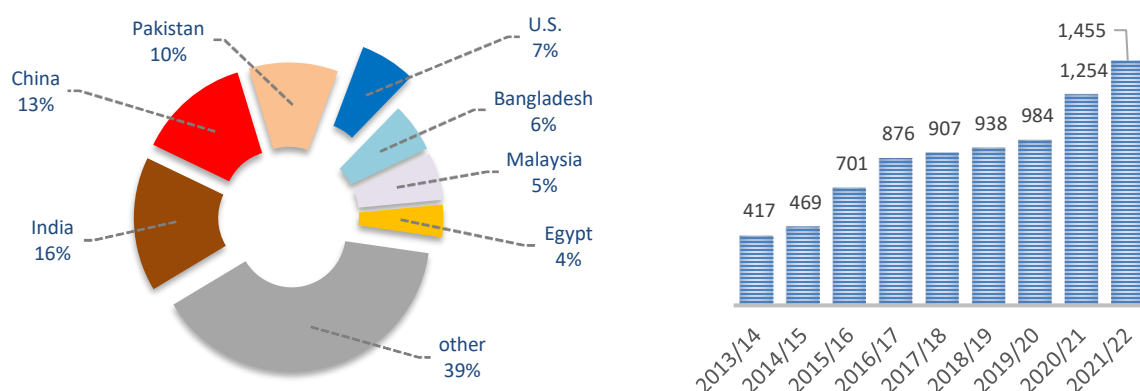
Based on final trade data, Indonesia's 2021/22 palm oil exports reached 22.3 MMT, a significant 17 percent drop from the previous year due policies in 2022 either restricting or banning exports of palm oil products. Post expects Indonesia palm oil exports to rebound to 29 MMT in 2022/23 on stronger demand from key markets and price competitiveness among other vegetable oils. The GOI extended its suspension of the export levy to December 2022 in order to accelerate exports and reduce ballooning stocks caused by export ban-related backlogs.

People's Republic of China (PRC) demand for palm oil in 2022/23 is expected to recover due to palm oil's price competitiveness vis-à-vis other vegetable oils. For example, PRC feed millers are expected to cut back on using soybean oil and switch to using more palm oil as soybean oil

prices remain high (see [CH2022-0120](#)). In PRC's food sector, palm oil users typically blend palm oil with other vegetable oils to cut costs.

Despite slower shipments in 2021/22 due to higher export levies (prior to July 2022 when the export levy was still active) and export restrictions, palm oil exports to India are expected to recover in 2022/23. Palm oil is expected to be the primary edible oil consumed in India, based on India's improved economic performance and palm oil's competitive price. The hotel restaurant and catering (HORECA) industry is a major segment of India's palm oil consumers.

Figure 1. Indonesia: 2021/22 Palm Oil Exports by Destination, and Palm Oil Exports to the United States, 2013-2022 (thousand MT)



Source: Trade Data Monitor

Table 1. Production Supply and Distribution (PSD) for Palm Oil, 2020/21-2022/23

Oil, Palm	2020/2021		2021/2022		2022/2023	
Market Begin Year	Oct-20		Oct-21		Oct-22	
Indonesia	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Harvested	11,950	11,950	12,100	15,300	12,500	15,400
Beginning Stocks	4,576	4,576	5,502	5,502	8,577	9,581
Production	43,500	43,500	45,300	43,200	46,500	44,700
MY Imports	-	-	-	-		-
Total Supply	48,076	48,076	50,802	48,702	55,077	54,281
MY Exports	26,874	26,874	22,321	22,321	28,500	29,000
Industrial Dom. Cons.	9,200	9,200	10,000	10,000	10,700	10,500
Food Use Dom. Cons.	6,225	6,225	6,650	6,500	6,900	6,700
Feed Waste Dom. Cons.	275	275	3,254	300	900	310
Total Dom. Cons.	15,700	15,700	19,904	16,800	18,500	17,510
Ending Stocks	5,502	5,502	8,577	9,581	8,077	7,771
Total Distribution	48,076	48,076	50,802	48,702	55,077	54,281
	0	0	0	0	0	0
(1000 HA) ,(1000 TREES) ,(1000 MT)						

Source: FAS Jakarta Estimates

Commodity: Oilseed, soy

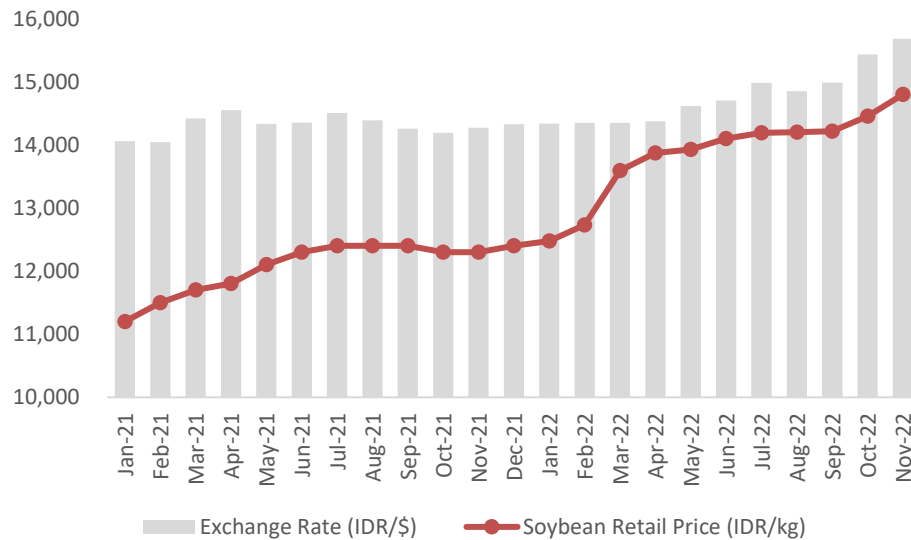
Production

Indonesia's 2022/23 soybean production forecast is revised down to 390,000 MT on lower yields due to earlier than expected rainfall in several regions on Java Island, the main soybean production area in Indonesia. According to Indonesia's national weather agency ([BMKG](#)), 46 percent of weather zones are projected to experience an early onset rainy season.

Consumption

Indonesia 2022/23 total soybean consumption is revised down about 10 percent from the previous forecast to 2.86 MMT on continued lower demand from the tofu and tempeh industry. Many tofu and tempeh producers are cutting back production due to rising soybean retail prices. Based on Ministry of Trade (MOT) data, the average price of imported soybean sold in wet markets increased 19 percent from January to November 2022. During the same period, the Indonesian rupiah (IDR) fell 9 percent against the dollar, driving soybean retail prices to record high levels.

Figure 2. Indonesia: Soybean Price and Exchange Rates, 2021-22



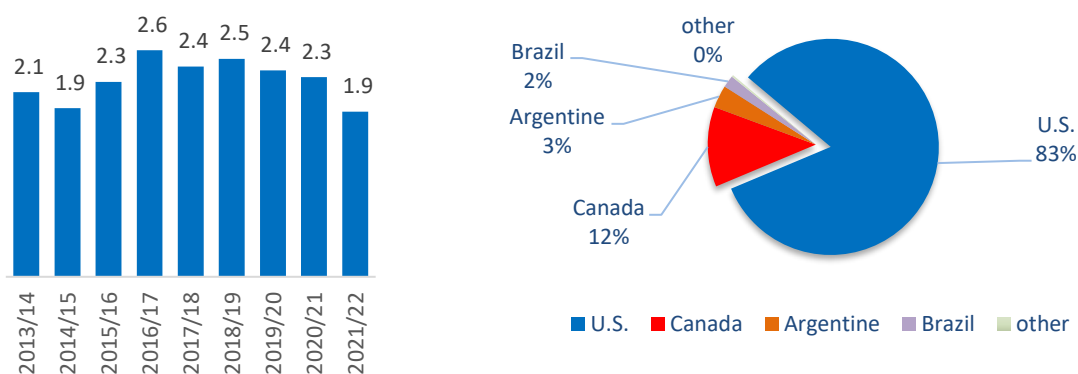
Source: Ministry of Trade, Bank of Indonesia

Trade

Post forecasts soybean imports at 2.6 MMT, an increase of 290,000 MT from the previous year on expected recovered demand from tofu and tempeh producers as prices return to normal. Based on final trade data, Indonesia's 2021/22 soybean imports are estimated at 2.3 MMT.

The United States is expected to remain Indonesia's main soybean supplier in 2022/23 on consistent supplies and the preference most tempeh producers have for U.S. soybean technical specifications.

Table 2. Indonesia: Soybean Imports from the United States (MMT), 2013-2022, and Soybean Imports by Origin, 2021/22



Source: TDM

Policy

In response to sustained high international soybean prices, the GOI rolled out the second round of its soybean subsidy program in October 2022, which is expected to last until December 2022. Similar to the first round, the second round involves Indonesia's state-owned logistic company BULOG and Kopti (the

tempeh and tofu producers cooperative). Kopti's members are eligible to purchase soybeans from BULOG's procurement at a subsidized price. The GOI set the same subsidy amount (1,000 IDR per kg) for the second round as the first round, which took place from April to June 2022. However, despite the GOI allocating enough funding to cover 800,000 MT of soybeans during the first round of subsidies, only 80,000 MT of soybeans ended up being purchased through the program due to complications administering the program.

In late October 2022, the GOI issued [Presidential Regulation 125](#) on the establishment of government food reserves (abbreviated as CPP). The PR broadens government reserve status beyond rice to 10 other food staples. According to PR 125, the first CPP implementation phase will cover three of these food commodities including soybean. PR 125 also gives the National Food Agency (NFA) authority over CPP management, including setting annual reserve volumes and quality standards for each food commodity, as well as overseeing its procurement, release, and distribution. Implementing regulations for soybean CPP are expected to be issued by the NFA shortly.

Table 3. Production Supply and Distribution (PSD) for Soybean, 2020/21-2022/23

Oilseed, Soybean	2020/2021		2021/2022		2022/2023	
Market Begin Year	Oct-20		Oct-21		Oct-22	
Indonesia	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Harvested	390	390	350	350	330	330
Beginning Stocks	185	185	144	144	92	54
Production	475	475	425	425	400	390
MY Imports	2,617	2,617	2,307	2,307	2,775	2,600
Total Supply	3,277	3,277	2,876	2,876	3,267	3,044
MY Exports	3	3	12	12	2	3
Crush	0	0	0	0	0	0
Food Use Dom. Cons.	2,980	2,980	2,647	2,650	2,950	2,700
Feed Waste Dom. Cons.	150	150	125	160	170	160
Total Dom. Cons.	3,130	3,130	2,772	2,810	3,120	2,860
Ending Stocks	144	144	92	54	145	181
Total Distribution	3,277	3,277	2,876	2,876	3,267	3,044
	0	0	0	0	0	0
(1000 HA) ,(1000 MT)						

Source: FAS Jakarta Estimates

Commodity: Meal, soy

Production

Indonesia does not produce soybean meal.

Consumption

Soybean meal consumption is forecast at 5.6 MMT for 2022/23, an increase from 5.5 MMT in 2021/22 on expected rising demand from the feed industry due to Indonesia's improved economic performance.

The feed industry continues to expand, in line with anticipated increases in protein consumption from population growth. In 2022, Indonesia feed mills' installed capacity reached 29.7 MMT, with a running capacity around 70-75 percent.

Trade

Indonesia soybean meal imports are projected to rise slightly to 5.6 MMT in 2022/23. Post revises down 2021/22 soybean meal imports to 5.5 MMT based on final trade data. On price competitiveness, South America is expected to remain the main soybean meal supplier to Indonesia in 2022/23. In 2021/22 non-South America origins constituted only 2 percent of total imports.

Table 4. Production Supply and Distribution (PSD) for Soybean Meal, 2020/21-2022/23

Meal, Soybean	2020/2021		2021/2022		2022/2023	
Market Begin Year	Oct-20		Oct-21		Oct-22	
Indonesia	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush	-	-	-	-	-	-
Extr. Rate, 999.9999	-	-	-	-	-	-
Beginning Stocks	207	207	270	270.0	140	296
Production	-	-	-	-	-	-
MY Imports	5,336	5,336	5,535	5,535	5,600	5,600
Total Supply	5,543	5,543	5,805	5,805	5,740	5,896
MY Exports	-	-	10	9	-	-
Industrial Dom. Cons.	-	-	-	-	-	-
Food Use Dom. Cons.	-	-	-	-	-	-
Feed Waste Dom. Cons.	5,273	5,273	5,655	5,500	5,550	5,600
Total Dom. Cons.	5,273	5,273	5,655	5,500	5,550	5,600
Ending Stocks	270	270	140	296	190	296
Total Distribution	5,543	5,543	5,805	5,805	5,740	5,896
	-	-	-	-	-	-

(1000 MT) ,(PERCENT)

Source: FAS Jakarta Estimates

Attachments:

No Attachments